

You must take a close look at the price I bought this stock for, how I kept investing as and when the stock price went down and when I felt it was drastically down, how I invested a much larger sum when the price went down further, to maximize the averaging principle.

EDIBLE OIL INDIAN PRIVATE						
K S OILS						
HSL: KSOILS BSE Code: 526209 NSE Symbol: KSOILS ISIN: INE727D01022						
TRANSACTIONS HISTORY						
Date	Buy / Sell	Exchange	Qty.	Unit Price	Trans. Amount	Type
02-06-2011	Buy	BSE	375	26.50	9,937.50	Delivery
07-08-2011	Buy	BSE	350	14.25	4,987.50	Delivery
17-08-2011	Buy	BSE	1,100	9.00	9,900.00	Delivery
17-08-2011	Buy	BSE	2,850	8.75	24,937.50	Delivery
15-09-2011	Buy	BSE	4,675	12.25	57,268.75	Delivery

Fig 2.7: *Rupee cost averaging for K S Oils*

1. After buying the stock (375 shares) at ₹26.50, I felt very confident of a purchase at an attractive price. But, true to the market's volatile nature, the stock kept crashing because of multiple perception driven forces.
2. Since I was continuously aware of, and reading about the company and was fairly confident that this would not be a permanent phase in the company, I shortlisted this stock and started applying the Rupee Cost Averaging principle here.
3. Two months after my purchase, when the stock price was almost half the price at which I purchased it, I invested further money to bring down the average cost of purchase from ₹26.50 to ₹20.59.
4. The stock continued to dip further to values of ₹9 and ₹8.75. Some of you may get alarmed here and feel that you should be cautious of this stock and some may even start exiting at this stage fearing huge losses. This is where your knowledge of the reasons for the dip is so critical.